

Financial Planning: A Step-by-Step Guide

Step 1. Set financial goals

Financial goals make saving feel intentional and guide any good financial plan. Approach your financial planning from the standpoint of what your money can do for you, whether that's buying a house or helping you retire early.

Reducing credit card or other high-interest debt is another common medium-term plan.

Make your financial goals inspirational. Ask yourself:

- What do I want my life to look like in five years?
- What about in 10 or 20 years?
- Do I want to own a car or a house?
- Do I want to be debt-free? Pay off my student loans?
- Are kids in the picture?
- How do I imagine my life in retirement?

Having concrete goals can help you identify and complete the next steps and provide a guiding light as you work to make those aims a reality.

Step 2. Track your money

Get a sense of your monthly cash flow — what's coming in and what's going out. An accurate picture is key to creating a financial plan and can reveal ways to direct more to savings or debt pay-down. Seeing where your money goes can help you develop immediate, medium-term and long-term plans.

For example, developing a budget is a typical immediate plan. NerdWallet recommends the 50/30/20 budget principle.

- 50% of your take-home pay goes toward needs. That could include housing, utilities, transportation and other recurring payments.
- 30% goes toward wants like dining out, clothing and entertainment.
- 20% goes toward savings and debt repayment.

Simple budgeting plan: 50/30/20

One popular budget plan is the 50/30/20 budget. If you stick to this plan, you can handle your bills, save for the future, prepare for emergencies and enjoy life, too.

Allow up to 50% of your income for needs

Your necessities — about 50% of your after-tax income — should include:

- Groceries.
- Housing.
- Basic utilities.
- Transportation.
- Insurance.

Minimum loan and credit card payments. Anything beyond the minimum goes into the savings and debt repayment category.

Child care or other expenses you need so you can work.

If your basic needs go over 50%, you can use some of your “wants” money for now. That's OK. But if those needs are going over 50% month after month, consider switching to another budgeting model. Switching your budget isn't a sign of failure. Budgets should work for your life.

If your necessities fall under the 50% cap, review the expenses that stay the same every month, often called fixed expenses. You may find a better cell phone plan, an opportunity to refinance your mortgage or a less expensive car insurance option. Those money moves create breathing room in your budget.

Leave 30% for wants

Separating wants from needs can be difficult. Needs are essential for you to live and work. Typical wants include dinners out, gifts, travel and entertainment.

It's not always easy to decide: Are organic groceries a want or a need? How about house cleaning services or food delivery? Decisions vary from person to person.

If you want to get out of debt as fast as you can, you may decide your wants can wait until you have some savings or your debts are under control. But your budget should include fun money. If it's too strict, it's harder to stick with.

Commit 20% to savings and debt paydown

Use 20% of your after-tax income to put money away for the unexpected, save for the future and pay off debt balances (paying more than minimums). Think about your biggest money goals and use this part of your income to reach them.

Step 3. Budget for emergencies

The bedrock of any financial plan is putting cash away for emergency expenses. You can start small — \$500 is enough to cover small emergencies and repairs so that an unexpected bill doesn't run up credit card debt. Your next goal could be \$1,000, then one month's basic living expenses, and so on. Building credit is another way to shockproof your budget. Good credit gives you options when you need them, like the ability to get a decent rate on a car loan. It can also boost your budget by getting you cheaper rates on insurance and letting you skip utility deposits.

Three to six months' worth of your current living expenses is a good rule of thumb as the target amount for an emergency fund. This sum acts as a financial buffer to help you avoid going into debt from unexpected events, such as sudden car repairs, medical emergencies or job loss. It can be difficult to predict the cost of an emergency, so stocking up lets you be prepared just in case.

If that seems too steep, start with a number that seems more reasonable. For example, having access to \$500 in a savings account could help pay for a surprise car repair or medical bill without debt, so that could be a goal. If you put \$10 a week into savings and don't have to dip into the funds, it'll add up to more than \$500 after a year.

Keep in mind that it's OK if you have to use the funds for emergencies before you reach your first goal. An emergency fund is meant to be tapped and replenished. After you reach your first goal, you can set another one to be prepared for more unexpected expenses later.

Step 4. Tackle high-interest debt

Pay down high-interest debt, such as credit card balances, payday loans, title loans and rent-to-own payments. Interest rates on some of these may be so high that you end up repaying two or three times what you borrowed.

If you're struggling with revolving debt, a debt consolidation loan or debt management plan may help you wrap several expenses into one monthly bill at a lower interest rate.

Step 5. Plan for retirement

If you have one, take advantage of an employer-sponsored retirement plan like a 401(k), especially if it offers an employer match. True, 401(k) contributions decrease your take-home pay now, but it's worth it to consider putting in enough to get the full matching amount. That match is free money.

- If you have a 401(k), 403(b) or similar plan, financial advisors also generally suggest that you gradually expand your contributions toward the IRS limit: \$23,500 in 2025. People aged 50 and older can contribute an extra \$7,500 as a catch-up contribution. Due to the Secure 2.0 Act, those aged 60, 61, 62 and 63 get a higher catch-up contribution of \$11,250. In 2026, the contribution limit is \$24,500, with a catch-up contribution of \$8,000. Those aged 60, 61, 62, and 63 will have the same higher-catch up contribution of \$11,250 .
- Another savings vehicle for retirement planning is an IRA, or individual retirement account. These tax-advantaged investment accounts can further build retirement savings. The contribution limit is \$7,000 in 2025 (\$8,000 if aged 50 and older). For 2026, the limit is \$7,500 (\$8,600 if aged 50 and older).

Step 6. Optimize your tax planning

For many of us, taxes take center stage during filing season, but careful tax planning means looking beyond the Form 1040 you submit to the IRS each year.

For example, if you get a sizable refund, that may be a sign that you could get more out of your paycheck throughout the year. Learning how and when to review your W-4, the form you fill out for your employer, can help you to take

control of your future. Adjust your withholdings on your W-4, and you can either keep more of your paycheck or pay a smaller tax bill.

Knowing ahead of time which tax credits and deductions you might qualify for can help you spend and invest in ways that could make a difference when it comes time to file your tax return. Consider working with a good financial advisor to understand your tax opportunities and put a strategy together.

Step 7. Invest to build your future goals

Investing can be as simple as putting money in a 401(k). Financial plans use a variety of tools to invest for retirement, a house or college. A financial advisor can help you select investments if you're unsure which ones to choose or how much to allocate to each.

Step 8. Manage risk with insurance planning

Use insurance to protect your financial stability so a sudden setback doesn't derail you. There are insurance products to consider for almost every stage of life.

For example, renters insurance can provide affordable coverage for your belongings. It pays out if they are destroyed or stolen, even if you're just renting a room in an apartment. Homeowners insurance can cover your belongings and your house. Life insurance protects loved ones who depend on your income. Term life insurance, covering 10-year to 30-year periods, can be a good fit for most people's needs.

Step 9. Estate planning: Protect your financial well-being

Financial planning also means looking out for your future needs, as well as mapping things out for your loved ones. Creating a will or trust can help ensure your assets are distributed according to your wishes.

Documents such as living wills can provide your relatives with clarity.

Prenuptial agreements, powers of attorney, succession plans and deed transfer strategies can also help ensure assets are protected and transferred according to your wishes.